Bogleheads

Investing with a medium-term timeline

Investing with a medium-term timeline has some specific challenges. The objective (what the money is for) and its time horizon (when you will need it) affect which securities to use.

Your investment policy statement should document your medium-term goals (like a new car, a home purchase, starting a business, and education expenses for children) next to the long-term goals like retirement. You need to understand your need, willingness and ability to take investment risk related to each specific goal, and choose appropriate securities. Many investors use the term "saving" instead of "investing" for anything which is not long-term investing.

Often, investors divide their investments into buckets according to the goals and timelines, and manage each with a specific strategy. Goals with a shorter timeline need safer investing, which will restrict investments to short-term instruments such as (high yield) savings accounts, bank CDs, money market funds, and short-term treasury securities that mature by the time the funds are needed. Longer term goals can include asset classes that fluctuate in price.[1]

Overview

Suppose you want to invest money for goals with a medium-term timeline in a vehicle with better return than cash, to give this money a chance to grow without taking too much risk.

Goals with a medium-term timeline are very diverse:

- Saving for regular or anticipated purchases that you cannot easily fund from cash flow, such as expenses for household appliances, a new car, marriage, or children.
- Medium-term investing for specific projects that are some years away. For example, a down payment for a house or setting up a small business.
- Saving for education. This is very specific; for more, see: Education savings.
- Saving for unanticipated needs for cash, such as medical bills or job loss, uses an emergency fund. The goal of the emergency fund is to give you some liquidity to cover unexpected expenses or unemployment.

When setting your asset allocation (AA) and asset location for medium-term investing, the generic guidance of the Bogleheads investing start-up kit and the Bogleheads investment philosophy certainly applies if you correctly take the need, willingness and ability to take risk into account. The specific characteristics of a security will determine its suitability for a given goal.

Elements to take into account when determining how to invest for medium-term

The characteristics of the project for which you are saving constrains your investment choices. What is the need, willingness and ability to take risk on these medium-term timeline?

- Is capital preservation crucial? Or can you risk capital to strive for higher return?

- What flexibility do you need? How firm is your project's timetable? Might you need to start the project earlier than initially planned? Can you delay it if the investment does not cover it at the target date, because of lower return or loss of value? Can you put the project off until the investment recovers?
- What is the savings rate? Could you make up the shortfall before the target date if the value of the investment fails to perform as expected?
- What is your general approach to investing? What is your current asset allocation?
- What particular tax considerations might you have that woul also limit (or extend) your investment choices?

Saving/investing asset allocation options

Some asset classes are particularly suitable for the medium-term timeline. You need to control the duration of the investments to match the due dates of your projects, and ensure the quality is very high to avoid loss of principal.

- **Cash like**: Very liquid and super easy to access, guarantee on the capital (if federally insured), lower return. Examples include a checking account, money market fund, and (High Yield) (insured) savings account.
- **Reward checking account** (RCA): Somewhat higher return, if you are willing to put in the effort to set up and maintain to get the higher APR.
- **Fixed income instruments**:
  - CDs and similar: Can be federally insured, will have early withdrawal penalty (EWP) if not kept to term. Buy multiple sizes to avoid breaking the full CD and paying EWP on them.
  - US savings bonds: These have a one-year lockout, and an annual purchase limit.
  - Short term United States Treasury security
  - Tax-Exempt municipal bonds Funds
  - I savings bonds
- **Funds and ETFs**: For longer timelines you can use safe (quality short-term) bond funds or ETFs, or even safe equity funds or ETFs if you can bear the risk.[note 1]

Looking at the timeline, it is best to convert as the due date nears, from equity to bonds, to safe fixed income instruments, and finally to cash. It may be a good idea to do this gradually.

You can also use the ideas mentioned in the multi-tiered emergency fund for medium-term investing.

Using taxable or tax advantaged accounts

General practice: use taxable accounts

It is best to save for short and medium term goals in a taxable account (checking, savings, CDs, and so on). Taxable accounts do not have an annual contribution limits, and they are refillable. You can readily take out and replace money.

It is not a good idea to save for known short or medium term needs or goals in a tax-advantaged account. These accounts have annual contribution limits. While you might be able to withdraw money under special considerations,[note 2][note 3] they are not refillable. That is, you cannot put the money

back after an early withdrawal.

When to use a tax advantaged account

See also: Placing cash needs in a tax-advantaged account

It might be advantageous and possible to use *non-used* tax-advantaged space with extra contributions that have a medium-term timeline. This takes advantage of valuable Roth IRA contribution space that could be lost forever if you do not contribute. Compound interest requires time and money to work. Tax-advantaged space is better than taxable space. More tax-advantaged space is better than less, so use all you can every year. The advantages are more likely if the mid-term goal is not certain. At the time of the purchase you could withdraw the extra contributions[note 2] but not the earnings[note 3] from the account. (See also the description in the wiki page on Roth IRA as an emergency fund).

If you have a sizable taxable account, you might be able to put a cash needs requirement, such as a home down payment, in a tax-advantaged account, and so improve the overall tax efficiency of your investment portfolio.

Notes

1. In Bogleheads forum post: "Buying a house in 2-4 years; what do I do with my mutual funds" (https://www.bogleheads.org/forum/viewtopic.php?p=2686420#p2686420), Jim Dahle commented on the transfer from an existing investment in equity to a safer option for a house down payment:

   > The main thing is to consider your options in the event of a huge bear market. If the market drops 50%, what will you do? Here are some choices:
   >
   > 1. Don't buy the house and just keep renting until the stocks recover and future savings gets you back to where you want to be.
   > 2. Maybe houses will be cheaper in an economic downturn and you can still buy it with your decreased amount.
   > 3. Maybe houses will be cheaper and you can use a mortgage with < 20% down, leaving your investments intact.
   > 4. Maybe you won't buy a house at all.
   >
   > For some people, for whom these options aren't good choices, should sell their stocks now and put the money in CDs. But there are many people for whom these other options are very realistic alternatives. For them, keeping some or all of the money in stocks is probably okay. The expected return is higher, even if the actual return may not be.

2. You can withdraw Roth contributions at any time, free of taxes and penalties. This is not true of gains. See: Roth IRA.

3. Earnings of contributions withdrawn before the due date of that year will be taxed. See IRS Publication 590-B: Are Distributions Taxable? (http://www.irs.gov/publications/p590b/ch02.html#en_US_2014_publink1000231057).

See also

- Matching strategy
- Owning vs renting
- Paying down loans versus investing

References

1. "Set a Time Frame for Your Financial Goals" (https://web.archive.org/web/20190118081745/http://www.finra.org/investors/set-time-frame-your-financial-goals). FINRA. Archived from the original (http://www.finra.org/investors/set-time-frame-your-financial-goals) on January 18, 2019.

External links

Boglehead forum discussions

- Bogleheads forum topic: "Asset Allocation for a young investor seeking to make a down payment in 3-5 years" (https://www.bogleheads.org/forum/viewtopic.php?t=178360)
- Bogleheads forum topic: "Aligning Cash and Emergency Fund with years of Living Expenses" (https://www.bogleheads.org/forum/viewtopic.php?t=178343)
- Bogleheads forum topic: "Where to invest money in taxable account to use in 5 years" (https://www.bogleheads.org/forum/viewtopic.php?t=178350)
- Bogleheads forum topic: "Buying a house in 2-4 years; what do I do with my mutual funds?" (https://www.bogleheads.org/forum/viewtopic.php?t=177528)
- Bogleheads forum topic: "Bond Fund for Extra Cash / Emergency Fund?" (https://www.bogleheads.org/forum/viewtopic.php?t=178152)
- Bogleheads forum topic: "Taxable account with 6-10 year horizon" (https://www.bogleheads.org/forum/viewtopic.php?t=178241)

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